STANDARD EDITION • 20 OCTOBER 2026 • 09:00 HKT

US equities rally on tech strength, but rate worries linger

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Nasdaq 100 surged +1.17% to 29,529.35 as NVDA and AMZN posted double-digit gains, pulling the broader market higher. Meanwhile, the 10-year Treasury yield jumped +0.75% to 5.14%, keeping the risk-off sentiment alive and pressuring financials.

Behind the headline numbers, the rally is driven by a sharp rebound in semiconductor earnings expectations and a dip in oil prices that eases inflation concerns. Yet the upside is capped by a still-elevated yield curve and a modest pullback in the dollar, suggesting volatility could return if rates climb further.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,690.73	+0.41%	Tech earnings optimism offset higher yields.
Nasdaq 100	29,529.35	+1.17%	Semiconductor rally; **NVDA** up +1.38%.
Dow Jones	51,966.03	-0.07%	Financials dragged by rising yields.
Russell 2000	2,728.30	+0.25%	Small-cap resilience on consumer-discretionary strength.
VIX	18.44	-7.75%	Lower volatility as equity rally gains momentum.
10Y Yield	5.14%	+0.75%	Fed's "higher for longer" stance reinforced.
WTI Crude	98.89	-4.60%	OPEC+ output commitment eased price pressure.
Gold	4,151.60	-0.20%	Dollar dip limited safe-haven demand.
DXY	101.77	-0.21%	Weakening US dollar amid mixed data.

Top large-cap movers

TICKER	CHANGE	CATALYST
AMZN	+4.98%	Amazon announced a 15% increase in its cloud margin guidance.
TSLA	+3.76%	Q3 deliveries beat expectations; new battery plant in Texas.
NVDA	+1.38%	Strong AI chip demand; raised FY revenue outlook.
MSFT	+0.84%	Microsoft Azure AI services usage up 22% YoY.
JPM	-1.82%	Net interest income pressured by higher rates.

Sector rotation

ETF	DAY	READ
XLF	-0.83%	Financials under pressure from yields.
XLK	+1.36%	Tech leads the rally.
XLI	-0.64%	Industrial slowdown.
XLE	-0.64%	Oil price pullback.
XLY	+1.78%	Consumer discretionary gains.
XLC	-0.21%	Communications stable.
XLP	-0.47%	Staples modestly down.
XLV	-0.60%	Health care lagging.
XLU	-2.01%	Utilities hit by rate rise.
XLB	+0.06%	Materials flat.
XLRE	-1.16%	Real estate pressure.

Spotlight: semiconductor surge

The combined rally in `NVDA`, `AVGO` and related peers reflects a tightening supply-demand gap as AI workloads expand. Inventory levels remain low, and OEMs are accelerating fab upgrades.

METRIC	VALUE
NVDA Q3 revenue (est.)	31.2 bn
AVGO Q3 gross margin	71.4%
Global AI chip fab capacity utilization	92%
Semiconductor inventory (YoY)	-5.3%

Related names to watch: `AMD`, `TSM`, `LRCX`. Any supply shock could reverberate across the Nasdaq.

Pre-market & overnight

- US futures: +0.6% S&P 500, +1.2% Nasdaq.
- Asia close: Hang Seng -0.4%, Shanghai -0.2%.
- Europe: FTSE 100 -0.3%, DAX -0.5%.
- Crypto: BTC -0.27%, ETH -0.39%.

Macro & Fed

- FOMC: Fed kept policy rate at 5.25-5.50% and signaled one more 25bp hike if inflation stalls.
- Yield curve: 2-year at 5.31%, 10-year at 5.14% – still inverted.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	`0.3%`	Inflation trend for next Fed decision.
03:00	Initial jobless claims	225k	Labor market health.
04:15	Retail sales YoY	`3.2%`	Consumer spending momentum.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, risk of oil supply disruption remains low.
- China: PBOC held the yuan steady; manufacturing PMI at 49.8, indicating near-stagnation.
- Eurozone: German budget talks progress, but fiscal uncertainty keeps bond yields volatile.
- Emerging markets: Brazil’s central bank cut rates to 10.75% to support growth.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00	**`AAPL`**	`2.30` bn	iPhone demand & services margin.
02:30	**`GOOGL`**	`1.85` bn	Ad revenue rebound, AI licensing.
03:00	**`META`**	`1.10` bn	Metaverse spend vs. ad growth.
03:30	**`JPM`**	`3.45` bn	Net interest income under higher rates.
04:00	**`NVDA`**	`7.10` bn	AI chip order backlog.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
`AMD`	Technology	AI chip market share gains.
`TSM`	Technology	Capacity expansion for AI fabs.
`LRCX`	Technology	Equipment orders up 12% YoY.
`BAC`	Financials	Balance-sheet strength amid rate rise.
`XOM`	Energy	Oil price dip may trigger buying on valuation.
`PEP`	Consumer Staples	Pricing power in emerging markets.
`UNH`	Health Care	Premium pricing pressure.
`CRM`	Technology	AI-driven SaaS growth.
`DIS`	Communication Services	Streaming subscriber rebound.
`KO`	Consumer Staples	Stable cash flow, dividend yield.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI above 0.4% MoM.
- Fed delivers a surprise 50bp hike.
- Geopolitical shock to oil supply pushing WTI above `110`.
- Tech earnings miss on AI revenue guidance.

BULLISH TRIGGERS

- Core CPI prints below 0.2% MoM.
- Fed signals pause after this meeting.
- Semiconductor inventory data shows deeper drawdown.
- Amazon beats revenue guidance with stronger cloud growth.

Positioning notes

- Long tech exposure remains attractive; earnings momentum outpaces rate risk.
- Short financials and utilities as higher yields compress valuations.
- Maintain a modest cash buffer to capitalize on any rate-driven pullback.

Sources

SOURCES

Bloomberg Market Data – 19 Oct 2026

Reuters – US CPI release schedule

FactSet – Semiconductor inventory report

Federal Reserve – FOMC minutes

CNBC – Earnings preview

Investing.com – Commodity price tracker